3. Human capital or Human Resources
   Ex. Investments in education, training and health

Characteristics of Capital

- Capital is a passive factor of production
- Capital is man-made
- Capital is not an indispensable factor of production
- Capital has the highest mobility
- Capital is more flexible
- Capital is productive
- Capital lasts long
- Capital involves present sacrifice to get future benefits

Entrepreneur or Organisation

An entrepreneur is a person who combines the different factors of production (land, labour and capital), in the right proportion and initiates the process of production and also bears the risk involved in it.

The entrepreneur is also called 'Organizer'. In, modern times, an entrepreneur is called 'the changing agent of the society'. He is not only responsible for producing the socially desirable output but also to increase the social welfare.



Characteristics of Entrepreneur

- Identifying profitable investible opportunities
- Deciding the location of the production unit
- Making innovations
- Deciding the reward payment
- Taking risks and facing uncertainties

Students are asked to visit some entrepreneurs in their nearest home town and collect the information of his businesses.

Teacher and students discuss about the entrepreneurs.

Summary

- ❖ Production is a process of combining various material inputs and immaterial inputs in order to make something for consumption
- ❖ Utility means want satisfying power of a product.
- ❖ Utilities are classified according to the nature as form utility, time utility and place utility.
- ❖ There are three types of production viz, Primary production, Secondary Production, Tertiary or Service Production
- ❖ Factors of Production Land, Labour, Capital, Organization
- ❖ The concept 'Division of Labour' was introduced by the Father of Economics Adam Smith in his book ' *An Inquiry into the Nature and Causes of the Wealth of Nations*
- ❖ An Entrepreneur is a person who combines the different factors of production. (Land, Labour and Capital)

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